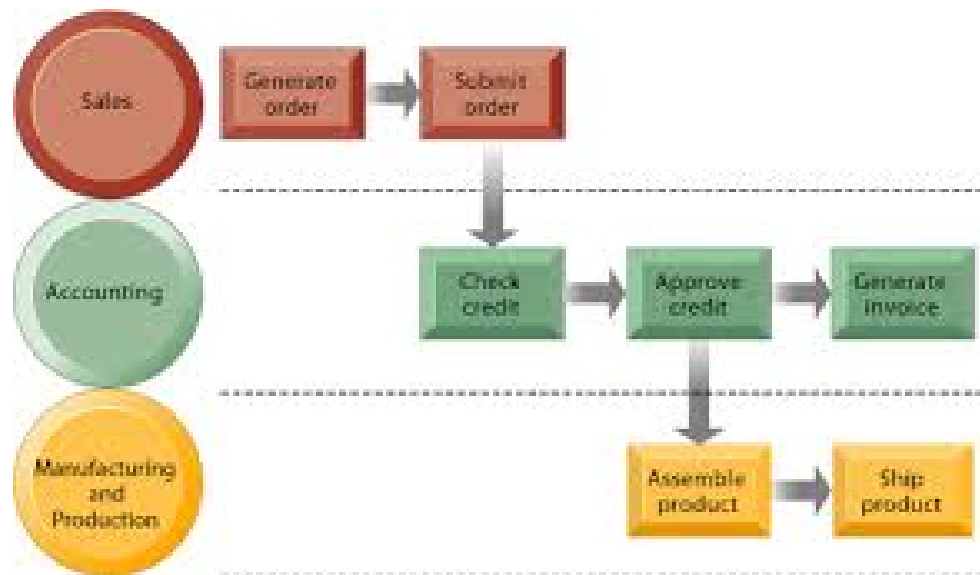


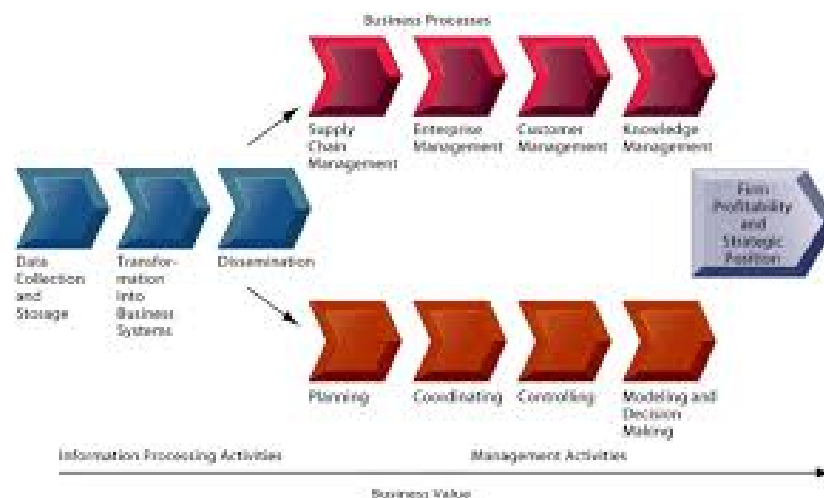
Chapter 2: Organizations, Management, and the Networked Enterprise

1.1 The Role of Information Systems in Business Today

- Outperform competitors
- Making wise decisions about information technology and information systems



How Information Systems are transforming businesses



- Supply chains have become more fast-paced, with companies of all sizes depending on just-in-time inventory to reduce their overhead costs and get to the market faster.

- Social networking is changing the way business works through connecting to their stakeholders
- Despite recession, e-commerce and internet advertising continue to expand

What is new in Management Information Systems?

- Continual change in technology, management use of technology, and the impact on business success.
 - Successful firms are the ones that know how to use the new technologies
- Three interrelated changes

1) The emerging mobile digital platform

2) The growth of online software as a service

3) The growth in 'cloud computing', in which more and more business software runs over the internet

- I phones, ipads, blackberries, and web-surfing net books represent new computing platforms based on an array of new hardware and software technologies

- Computing is moving from PC's and desktop machines to mobile devices, thus managers use these devices to coordinate work, and communicate with employees.

Which is called emerging mobile digital platform?

- Managers use so called, "Web 2.0" technologies like social networking, collaboration tools, and wikis in order to make better and faster decisions

2.1 Business Processes and Information Systems Business Processes

Collection of activities required to produce a product or service

These activities are supported by flows of material, info, and knowledge among the participants in business processes.

Also refer to unique ways in which orgs coordinate work, info and knowledge

Tied to a specific functional area ex. Human resources function is responsible for hiring employees.

How Information Technology Improves Business Processes

1. Increasing efficiency of existing processes—Automating steps that were manual
2. Enabling entirely new processes that are capable of transforming the businesses—Change flow of information—Replace sequential steps with parallel steps—Eliminate delays in decision making

2.2 Types of Information Systems

A business has systems to support different groups or levels of management. Transaction processing systems

- ♣ Perform and record daily routine transactions necessary to conduct business
- ♣ Examples: sales order entry, payroll, and shipping
- ♣ Allow managers to monitor status of operations and relations with external environment
- ♣ TPS supplies data to the company's general ledger system, which is responsible for maintaining records of the firm's income and expenses and for producing balance and income statements. It also supplies employee payment history data for supplemental insurance, pension and other.

HOW ARE INFORMATION SYSTEMS TRANSFORMING BUSINESS?

E-mail, online conferencing, and cell phones have become essential tools for conducting business. Information systems are the foundation of fast-paced supply chains. The internet allows many businesses to buy, sell, advertise, and solicit customer feedback online. Organizations are trying to become more competitive and efficient by digitally enabling their core business processes and evolving into digital firms.

WHY ARE INFORMATION SYSTEMS SO ESSENTIAL FOR RUNNING AND MANAGING A BUSINESS TODAY?

Information systems are a foundation for conducting business today. In many industries, survival and the ability to achieve strategic business goals are difficult without extensive use of information technology. Businesses today use information systems to achieve six major objectives: operational excellence; new products, services, and business models; customer/supplier intimacy; improved decision making; competitive advantage; and day-to-day survival.

WHAT EXACTLY IS AN INFORMATION SYSTEM?

From a technical perspective, an information system collects, stores, and disseminates information from an organization's environment and internal operations to support organizational functions and decision making, communication, coordination, control, analysis, and visualization. Information systems transform raw data into useful information through three basic activities: input, processing, and output.

WHAT ARE COMPLEMENTARY ASSETS?

In order to obtain meaningful value from information systems, organization must support their technology investments with appropriate complementary investments in organizations and management. These complementary assets include new business models and business process, supportive organizational culture and management behavior, appropriate technology standards, regulations, and laws.

WHAT ARE THE THREE INTERRELATED CHANGES IN THE TECHNOLOGY AREA?

In the technology area there are three interrelated changes: (1) the emerging mobile digital platform, (2) the growth of online software as a service, and (3) the growth in "cloud computing" where more and more business software runs over the Internet.

WHAT IS THE DEFINITION OF BUSINESS PROCESSES?

Business processes refer to the set of logically related tasks and behaviors that organizations develop over time to produce specific business results and the unique manner in which these activities are organized and coordinated.

GIVE EXAMPLES OF BUSINESS PROCESSES

Developing a new product, generating and fulfilling an order, crediting a marketing plan, and hiring an employee are examples of business processes.

KEY CORPORATE ASSETS

Intellectual property, core competencies, and financial and human assets-are managed through digital means.

WHAT ARE THE SIX STRATEGIC BUSINESS OBJECTIVES THAT BUSINESS FIRM INVEST HEAVILY IN INFORMATION SYSTEMS TO ACHIEVE?

Business firms invest heavily in information systems to achieve six strategic business objectives: operational excellence; new products, services, and business models; customer and supplier intimacy; improved decision making; competitive advantage; and survival.

HOW INFORMATION SYSTEMS ARE TRANSFORMING BUSINESS

- 1. Emerging mobile digital platform**
2. Growing business use of "big idea"
3. Growth in cloud computing